



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2025-26
HALF YEARLY EXAMINATION

CLASS: X
SUBJECT: ECONOMIC APPLICATIONS (SET-A)

FULL MARKS: 100
TIME: 2 HOURS

Answers to this Paper must be written on the paper provided separately.

You will not be allowed to write during the first 15 minutes.

This time is to be spent in reading the Question Paper.

The time given at the head of this Paper is the time allowed for writing the answers.

Attempt all questions from Section A and any four questions from Section B.

The intended marks for questions or parts of questions are given in brackets [].

This question paper consists of 6 printed pages.

SECTION A (40 Marks)
(Attempt all questions from this Section)

Question 1

[20]

Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answers only.)

- (i) **Assertion (A): The demand curve for a commodity shifts to the right when consumers expect a future price to decrease.**
Reasoning (R): Expectations of decrease in future price lead consumers to delay their purchases, reducing current demand.
(a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(d) Both A and R are true but R does not explain A
- (ii) **Dumping of overburden is a problem related to _____**
(a) Shifting cultivation (b) Mining
(c) Construction of dams (d) Industrialization
- (iii) **Which one of this best describes 'enterprise' as a factor of production?**
(a) The natural resources used
(b) The amount of money invested
(c) The initiative to combine other factors to produce goods and services
(d) The machinery used in production
- (iv) **If a firm increase production when prices rise, the supply is said to be:**
(a) Perfectly inelastic (b) Elastic
(c) Unitary elastic (d) Inelastic
- (v) **A multinational company has its design team in Germany, manufacturing unit in China, and sales offices in India. This is a perfect example of:**
(a) Occupational Division of Labour
(b) International Division of Labour
(c) Process-based Division of Labour
(d) Vertical Division of Labour

- (vi) Why is land referred to as a passive factor of production in the process of creating goods and services? Choose the most appropriate reason.
- Land increases with investment
 - Land has unlimited supply
 - Land does not initiate production
 - Land earns rent by itself
- (vii) The phrase used in Economics that means "other things being equal" is:
- Market demand
 - Price elasticity of demand
 - Price discrimination
 - Ceteris Paribus
- (viii) Identify the correct sequence of alternatives given in Column II by matching them with respective items in Column I:

	Column I		Column II
(A)	Monopoly	(i)	Toothpaste
(B)	Perfect Competition	(ii)	Vegetable Market
(C)	Monopolistic Competition	(iii)	Defence
(D)	Monopsony	(iv)	Indian Railways

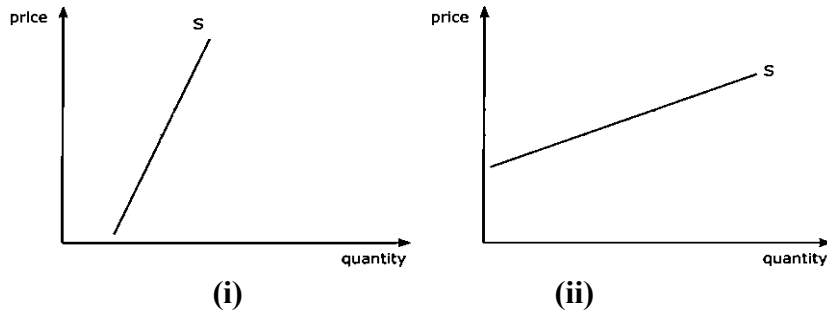
- A–(i), B–(ii), C–(iii), D–(iv)
 - A–(i), B–(iii), C–(ii), D–(iv)
 - A–(iv), B–(iii), C–(ii), D–(i)
 - A–(iv), B–(ii), C–(i), D–(iii)
- (ix) The income of _____ may be positive, negative or zero.
- Labourer
 - Land owner
 - Capital
 - Entrepreneur



What type of capital is depicted in the picture?

- Finance capital
 - Sunk capital
 - Floating capital
 - Debt capital
- (xi) Mr. X usually buys 2 loaves of bread per day when the price is ₹ 30 per loaf. When his relatives visit, he buys 10 loaves at the same price. Choose the correct impact on demand.
- Increase in demand
 - Increase in quantity demanded
 - Decrease in demand
 - Decrease in quantity demanded
- (xii) Choose the option that correctly explains the concept of a Giffen good.
- A good for which the law of demand strictly holds
 - A luxury item with high prestige value
 - An inferior good whose demand falls as its price decreases
 - A good that has perfect substitutes
- (xiii) As a result of a 5% fall in the price of good, its demand rises by 12%. What is the price elasticity of demand?
- 2.4
 - 0.25
 - 1.67
 - 1.20

(xiv) What is the elasticity of the given supply curves?



- (a) (i) elastic, (ii) inelastic (b) (i) inelastic, (ii) elastic
 (c) (i) unitary elastic, (ii) inelastic (d) (i) inelastic, (ii) unitary elastic

(xv) A farmer sells wheat in a large market where there are hundreds of sellers and buyers. He cannot influence the price and must accept the market price.

Which type of market structure is the farmer operating in?

- (a) Monopoly market (b) Monopsony market
 (c) Perfect competition (d) Monopolistic competition

(xvi) Match the items in Column A with their appropriate descriptions in Column B

	A		B
(i)	Inferior goods	(P)	Quantity demanded falls
(ii)	Joint demand	(Q)	When any commodity is demanded for many alternative uses
(iii)	Composite demand	(R)	Demand for complementary goods
(iv)	Contraction in demand	(S)	Goods whose demand decreases with an increase in income

- (a) (i) – S, (ii) – R, (iii) – Q, (iv) – P
 (b) (i) – P, (ii) – R, (iii) – S, (iv) – Q
 (c) (i) – Q, (ii) – R, (iii) – S, (iv) – P
 (d) (i) – P, (ii) – Q, (iii) – R, (iv) – S

(xvii) Assertion (A): With the rise in the price of corn and soyabeans, the farmer will shift their production to corn and soyabeans.

Reasoning (R): The law of supply states that there is a direct relationship between the price and the supply of a good.

- (a) A is true but R is false
 (b) A is false but R is true
 (c) Both A and R are true and R explains A
 (d) Both A and R are true and R does not explain A

(xviii) Observe the relationship of the first pair of words and complete the second pair:

Land : Rent :: Capital : ?

- (a) Interest (b) Wages
 (c) Profit (d) Human resource

(xix) Assertion (A): If the supply curve is a vertical straight line, supply is perfectly elastic.
 Reasoning (B): A vertical supply curve means quantity supplied remains constant regardless of price.

- (a) A is true but R is false
 (b) A is false but R is true
 (c) Both A and R are true and R explains A
 (d) Both A and R are true and R does not explain A

(xx) A new machine is introduced in a factory that makes the production of pens faster and cheaper. As a result, the supply of pens increases. What type of shift in supply does this represent?

- (a) Leftward shift of supply curve (b) Rightward shift of supply curve
 (c) Movement along the supply curve (d) No change in supply

Question 2

- (i) Calculate the price elasticity of supply on the basis of the following data: [2]

Price (₹)	Quantity (kg)
10	200
15	225

Is the supply elastic or inelastic?

- (ii) If the supplier of cement expects an increase in the price of cement in the future, how does the current supply of cement change? [2]
- (iii) A buyer is unsure whether to buy from seller A or B, as both are selling the same quality of rice at the same price. [2]
What does this indicate about the nature of the product in perfect competition?

- (iv) [2]



A land profile showing deforestation.

Based on the above picture, identify two consequences of this land use pattern.

- (v) In what ways do sunk capital and floating capital differ in terms of their mobility and use in production? [2]

Question 3

- (i) A farmer owns a small piece of land. He wants to increase production but cannot increase the size of his land. [2]
How can the farmer increase productivity without expanding the land area?

- (ii) A bakery notices that the price of cakes has increased during the festival season. It immediately increases cake production using existing resources. [2]
How would you classify the elasticity of supply for cakes?

- (iii) The following table shows that there are three Consumers A, B and C in a market. [2]

Price (₹)	Consumer A (units)	Consumer B (units)	Consumer C (units)	Market Demand (units)
3	7	5	(i)	20
4	6	(ii)	6	16
5	(iii)	3	3	10
6	2	2	1	(iv)

Based on the above hypothetical schedule, answer the following questions.

- (a) What is the demand of Consumer C priced at ₹3 (i)
(b) What is the demand of Consumer B priced at ₹4 (ii)
(c) What is the demand of Consumer A priced at ₹5 (iii)
(d) Calculate the total market demand priced at ₹6 (iv)

- (iv) A new study is published widely, highlighting the serious health risk associated with consuming sugary drinks. [2]
What impact would this have on the demand for carbonated soft drinks?
- (v) A company uses new AI-based machines that reduce production time by 50%. As a result, it increases its supply of mobile phones. [2]
Which factor is responsible for this increase in supply?

SECTION B (60 Marks)

(Answer any four questions from this Section)

Question 4

- (i) In a large automobile manufacturing company, each worker is assigned a specific task. Some fix engines, some paint the cars, while others are responsible for assembling different parts. [7]
Identify the type of division of labour used in the above situation. Discuss any four disadvantages associated with the division of labour.
- (ii) The Law of Demand does not hold true in all cases. Evaluate this statement by explaining the following four exceptions to the law. [8]
- Conspicuous consumption
 - Bandwagon effect
 - Snob effect
 - Veblen effect

Question 5

- (i) Define elasticity of supply. Explain any three determinants of elasticity of supply. [7]
- (ii) [8]



Rohan, a man with a strong vision, decides to open a restaurant in a newly developed locality where the population is still low and customer base is uncertain. Discuss the various functions of an entrepreneur that Rohan performs in this situation.

Question 6

- (i) What do you mean by industrialisation? Explain 'industrialisation' as factor contributing towards adverse impact on the ecosystem. [7]
- (ii) A student notices that local mobile phone stores offer the same brand of smartphones, but each store gives different offers - like free accessories, longer warranties, or free data packages. Based on this situation, explain any four features of a monopolistically competitive market. [8]

Question 7

- (i) What do you mean by efficiency of labour? Explain any three causes for the low efficiency of labour in India. [7]
- (ii) Analyze the key factors contributing to India's low rate of capital formation. [8]

Question 8

- (i) What do you mean by productivity of land? Discuss any three factors affecting the productivity of land. [7]
- (ii) During a recent monsoon failure, farmers in a village experienced a drastic reduction in crop yield despite high market prices for their produce. Explain any four non-price factors that could have influenced the supply of their crops. [8]

Question 9

- (i) [7]



Read the extract given below and answer the questions:

Heavy rainfall in Delhi on Monday disrupted several flight operations at Indira Gandhi International Airport, prompting airline IndiGo to issue a travel advisory. The airline cited air traffic congestion and urged passengers to check flight status and allow additional time for travel, as rain-hit roads caused delays.

[Source: The Economic Times, 7th July, 2025]

- (a) Identify the market structure that represents the aviation industry.
- (b) Discuss any three features of the market structure mentioned in the above passage.
- (ii) Describe the role played by the entrepreneurs in economic development of a country. [8]